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THE JAPAN BUSINESS ASSOCIATION IN VIETNAM
No.: DN02/2017HHDNNB

THE SOCIALIST REPUBLIC OF VIETNAM
Independence – Freedom – Happiness

Re: ***Some recommendations on the Draft Decree guiding the Pharmaceutical Law***

Hanoi, February 28th 2017

Your Excellency Prime Minister Nguyen Xuan Phuc,

Cc:
- Mr. Pham Binh Minh, Deputy Prime Minister, Minister, Ministry of Foreign Affairs
- Mdm. Nguyen Thi Kim Tien, Minister, Ministry of Health
- Mr. Nguyen Chi Dung, Minister, Ministry of Planning and Investment
- Mr. Tran Tuan Anh, Minister, Ministry of Industry and Trade
- Mr. Mai Tien Dung, Minister, Office of the Government
- Mr. Le Thanh Long, Minister, Ministry of Justice

We are writing to Your Excellency and relevant Ministers to share our serious concerns about some provisions relating to Foreign Invested Enterprises ("FIEs") in the draft decree guiding the implementation of the Pharmaceutical Law ("Draft Decree"). We understand that this Draft Decree has now been submitted to the Government for review and approval.

The Japan Business Association in Vietnam (JBAV) consists of 655 Japanese-invested member companies (as of 1/2/2017) operating in Vietnam in various sectors, including the pharmaceutical industry. We are delighted to acknowledge that Japan has ranked among the countries with highest direct investments in Vietnam over the last 10 years. Looking to the future, we believe that our two nations' partnership will continue to be strengthened, creating more favorable conditions for enterprises from both our countries to cooperate even more successfully.

Regarding the Draft Decree, we understand that it contains several provisions that **conflict with Vietnam's international commitments and go against the spirit of the existing local laws like the Civil Code, Commercial Law and Pharmaceutical Law.** These provisions risk creating entanglements and disruptions to the pharmaceutical supply chain, which may lead to increased drug prices. We are highly concerned that these provisions, once issued, will restrict foreign direct investments in Vietnam. These concerns are outlined below:

- Restricting FIEs' rights to freely select their distributors by imposing particular business conditions on the wholesalers who purchase drugs imported by the importers which do not have the drug distribution right in Vietnam - This requirement conflicts with

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Vietnam's World Trade Organization (WTO) commitments that foreign firms registered to engage in import activities would be free to select distributors of their choice to distribute the respective products in Vietnam without any restrictions.

- Prohibiting FIEs' logistics support activities, which have been implemented legally, by treating them as distribution activities – In other words, when the Decree comes into effect, these provisions shall prohibit local wholesalers from using modern, advanced, and legally registered logistical services in Vietnam such as warehousing, storage, and transportation, etc.
- Unclear guidance for the establishment of FIEs (legal entity), whether FIEs are obliged to build their own warehouses to store the imported pharmaceuticals, or have the right to outsource this activity.
- Unclear requirements on rights and obligations of FIEs and representative offices, especially importers' obligations to ensure drug quality as provided in Point b, Clause 2, Article 44 of the Pharmaceutical Law.
- Unreasonable and unfeasible requirements that are not in line with international practices to restrict foreign drug suppliers from exporting drugs to Vietnam.

On behalf of our member companies, we respectfully recommend that Your Excellency and the Government cabinet review the Draft Decree and remove unnecessary technical barriers in order to create a friendly and effective regulatory environment that will attract investment and promote economic growth.

Thank you very much for your consideration.

The Japan Business Association in Vietnam

Recipients:
- As above;
- Ministry of Planning and Investment - Foreign Investment Agency;
- Embassy of Japan in Vietnam;
- The Japanese Business Association of Ho Chi Minh City;
- The Japan Business Association in Da Nang City.

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BAN LÃNH ĐẠO

Chairman, Taiji Yanai

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